

A 2018 study by D. Bruce Ross and Ed Coombs called ‘The Impact of Psychological Trauma on Finance: Narrative financial therapy considerations in exploring complex trauma and impaired financial decision making’ found that ‘although the science of traumatology recognises a variety of traumatic experiences, little is understood about financial trauma’. The researchers acknowledged that financial therapists are needed to continue bridging financial and mental health disciplines in order to restore choice to our Money Stories.

Now, all this might make for interesting reading and help us realise why we may or may not have had a great financial start in life—but what does it mean for us today? If you’re stuck in a story or have survived life experiences that affect you financially, what does that mean for you now? Before we go any further, I need to ask the question that I’m sure is running through many of your minds: Do our early experiences mean we’re stuck in a Money Story we can’t step out of? The answer, thankfully, is no.

A 2010 paper, ‘Nature or Nurture: What determines investor behavior?’ by Amir Barnea, Henrik Cronqvist and Stephan Siegel, studied the investment portfolios of 37,000 identical and fraternal twins. The researchers discovered that the genetic factor accounted for about one third of the investment portfolio behaviour and allocations made by the twins. This genetic impact on the twins’ investments did appear to be long-lasting, even as the twins gained their separate life experiences.

This begs the question: If nature accounts for one third of investing decisions, is nurture or life experience therefore the more dominant factor because it accounts for the remaining two thirds? The answer, as you might expect, isn’t black and white.

While it’s clear that genetics makes up one third of the investing decisions, it’s unclear whether the remaining two thirds is the result of upbringing or life experiences or a combination of both. Certainly, while upbringing and the childhood family environment has an effect on the behaviour of young twin sets, the researchers discovered that ‘this effect is not long-lasting and disappears as an individual gains experiences’.

In other words, while your genetic predisposition might be permanent, the effect of your life experience, nurture and environment is constantly evolving. Whatever childhood experience you might have had, its financial